Authorities for giving purchase orders and receipts of goods should be clearly laid down. Issues from stores should be made only against proper requisition notes approved by authorized managers.

- **Insurance:** Different items of inventory should be adequately insured against fire, theft, etc. Insurance Premium should be paid in time and insurance policies should be kept in proper custody.
- **Slow-Moving Stock:** There should be a regular review to identify and take action to get rid of slow-moving, obsolete or defective stock.

2. **Examine Existence of Stock:** Auditor should verify the existence of stock by exercising physical stock verification as on the date of Balance Sheet. While undertaking physical stock taking or verification the following points should be borne in mind:
   - Ensuring that staffs involved are both knowledgeable about the stock and independent of the day-to-day handling or recording of the stock.
   - Issue of written stock taking instructions regarding counting procedures and clearly defining the responsibilities of all staff involved.
   - Computing and checking calculations and additions on stock sheets.
   - Continuous or periodic agreement of physical checks with records, and all material differences investigated.
3. **Verify Stock Records**: He should ensure that stock records are properly maintained and must verify receipts and issues of materials. He must also verify that Inspection Reports and Stock Sheets are authorised by a responsible person.

Auditor's Duty in Valuation

Stock-in-trade is a Current Asset and the auditor should ensure that stock-in-trade is valued at cost price or market price whichever is lower. The Institute of Chartered Accountants of India Accounting Standards - 2 (AS 2) "Valuation of Inventories" states that, stock of material is valued at cost or market price (Net Realizable Value) whichever is lower on the date of Balance Sheet.

Methods of Valuation of Stock

Valuation of stock-in-trade is ordinarily at cost price or market price whichever is less. Auditor generally adopts either of the two methods in valuing stock such as: (1) Pick and Choose Method (2) Global Method.



1. **'Individual or Pick and Choose' Method:** According to this method, the lower of cost price or market price is the basis in respect of each individual item and the total of the same is the value of the inventory.
2. **Global Method:** Under this method, first the cost of all items is determined and aggregated. Then, the market price of all the items is ascertained and aggregated. The lower of these two valuations is the value of the stock.

Chapter_05.indd 69 12/23/2019 3:01:35 PM